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Study Notes

Indian Contract Act, 1872

Special Contract-

Part 1

Contract of Indemnity

&

Guarantee

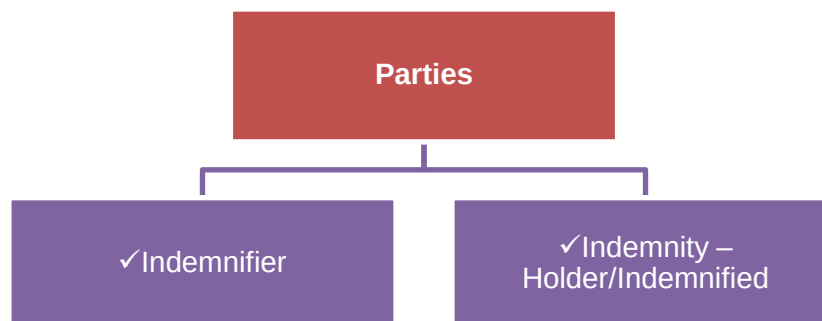
INTRODUCTION

- The Indian Contract Act apart from laying down the provisions with respect to the general principles of contract also lays down provision relating to certain types of special contracts. These special contracts have been categorized into the following:

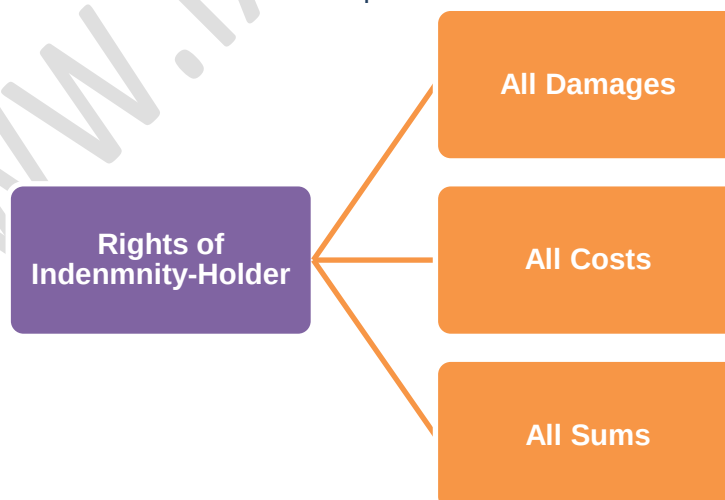


CONTRACT OF INDEMNITY

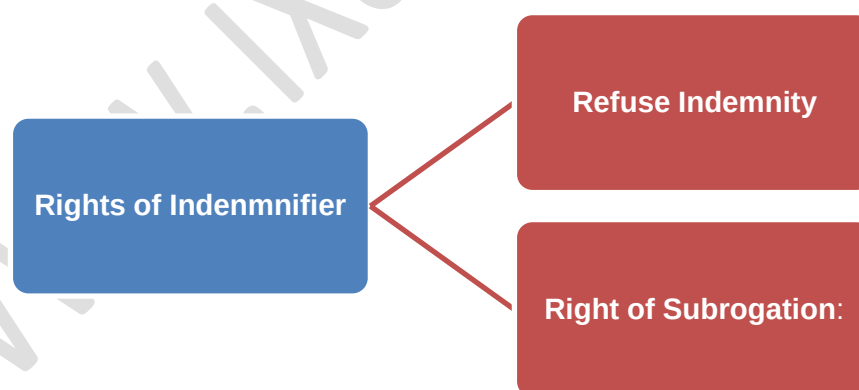
- Section 124 of the Contract Act has defined the term indemnity as:
 - ✓ A contract by which **one party promises to save the other from loss caused to him by the conduct of the promisor himself, or by the conduct of any other person.**
 - ✓ **Example:** A contracts to indemnify B against the consequences of any proceedings which C may take against B in respect of a certain sum of 200 rupees. This is a contract of indemnity.
- Thus, from the above definition it is clear that indemnity is a contract, **express or implied** wherein one party promises to safeguard the other from loss caused to him by the conduct of the promisor himself, or by the conduct of any other person.
- In other words, indemnity means to make good the loss or to compensate for the losses.
- There are **two parties in a contract of indemnity** as under:



- ✓ **Indemnifier** is the promisor or the party who pays compensation for the loss of the indemnified
 - ✓ **Indemnity –Holder/Indemnified** on the other hand is the Promisee or the party who bears loss and is therefore, compensated by the indemnifier.
- The **essential elements** of contract of indemnity are:
 - ✓ All the **essential elements of Contract** are required to be present for the very formation of contract of indemnity too.
 - ✓ **Liability of the indemnifier arises** when the **contingency or loss occurs** or the loss is suffered by the indemnified.
 - ✓ A contract of indemnity **can be expressed** through words Written or oral; **or implied** indemnity which arises due to the act or conduct of the parties.
 - ✓ In the contract of indemnity **compensation is provided** by the indemnifier for the loss suffered by Indemnity- Holder.
 - Section 125 of the Act provides for the **rights of indemnity-holder when sued** or in other words, the promisee in a contract of indemnity, acting within the scope of his authority, is entitled to recover from the promisor: -

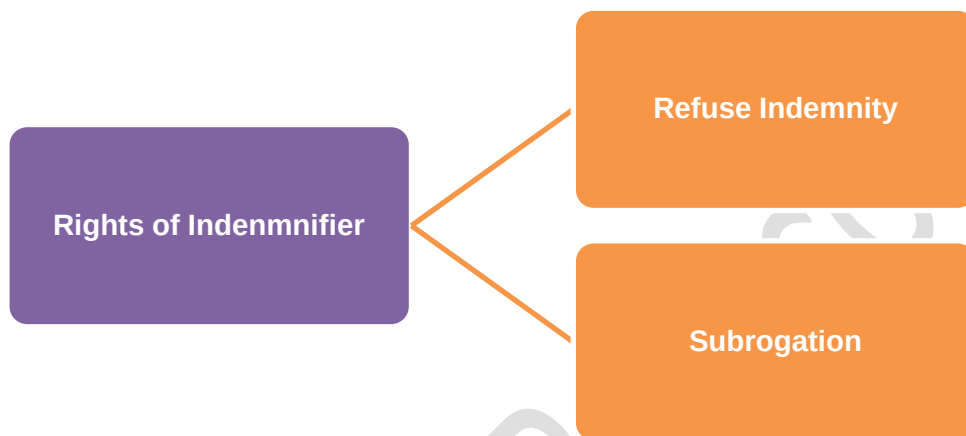


- ✓ **all damages** which he may be compelled to pay in any suit in respect of any matter to which the promise to indemnify applies;
 - The promisee is entitled to recover from the promisor damages which he may be compelled to pay in any suit in respect of any matter to which the promise to identify applies.
- ✓ **all costs** which he may be compelled to pay in any such suit if, in bringing or defending it, he did not contravene the orders of the promisor, and acted as it would have been prudent for him to act in the absence of any contract of indemnity, or if the promisor authorized him to bring or defend the suit;
 - The above right can be exercised if the following requisites are present:
 - If the orders of the promisor were not contravened;
 - Promisee acted in the same prudent manner as he would have acted in the absence of any contract of indemnity;
 - Promisor authorized him to bring or defend the suit.
- ✓ **all sums** which he may have paid under the terms of any compromise of any such suit, if the compromise was not contrary to the orders of the promisor, and was one which it would have been prudent for the promisee to make in the absence of any contract of indemnity, or if the promisor authorized him to compromise the suit.
- The Contract Act is however, silent about the rights of Indemnifier. However, the Courts have held that the rights of indemnifier are the **same as the rights of surety**. Therefore, the rights available to the indemnifier are as under:



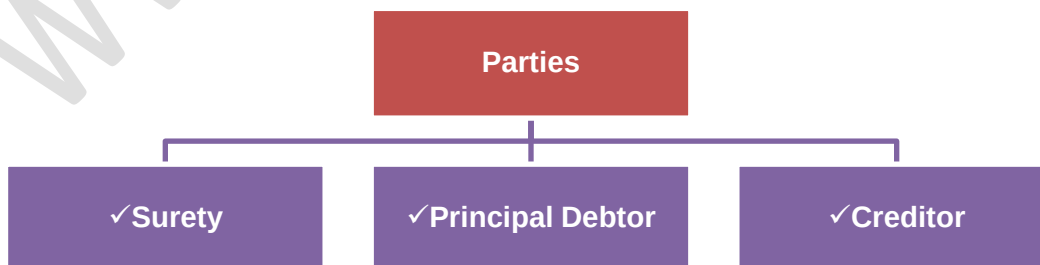
- ✓ **Refuse Indemnity:** Indemnifier has the right to refuse indemnity to the indemnity-holder in case the losses suffered by the indemnity holder is beyond the contract.
Thus, the indemnifier has a right to pay for only those losses which are covered in the contract of indemnity and not otherwise.

- ✓ **Right of Subrogation:** This right basically is similar to that of the surety. It basically means the process by which the rights will get shifted from one person to another. In other words, it means that after compensating the indemnity holder for his loss the indemnifier has in certain cases the right to sue third party who is liable for that.



CONTRACT OF GUARANTEE

- Section 126 defines contract of guarantee as: A contract to perform the promise, or discharge the liability, of a third person in case of his default.
- In other words, the contract of guarantee can be said to be a contract wherein the guarantor assures the creditor that the person in need i.e., the principal debtor may be trusted. However, in case of any default on the part of the principal debtor, the guarantor shall undertake the responsibility to pay. Thus, contract of guarantee is imperceptible security given to the creditor.
- Further, this section also defines the various parties in a contract of guarantee and also mentions that a guarantee **may be either oral or written**.
- There are **three parties in a contract of guarantee** as under:



- ✓ **Surety:** The person who gives the guarantee is called the "surety";

- ✓ **Principal Debtor:** The person in respect of whose default the guarantee is given is called the "principal debtor", and
- ✓ **Creditor:** The person to whom the guarantee is given is called the "creditor".
- The various **essential elements** of contract of guarantee are:
 - ✓ All the **essential elements of Contract** are required to be present for the very formation of contract of guarantee too.
 - ✓ In the contract of guarantee there is the **primary liability which is in existence** and the primary liability is that of the Principal Debtor. Thus, the liability of the surety is secondary to that of the principal debtor and shall arise only when the principal debtor makes a default. In other words, it means that since the primary contract was between the creditor and principal debtor, in that case the liability to fulfill the terms of the contract is primarily with the principal debtor and the surety will only be liable in case of the default of the principal debtor.
 - ✓ **Concurrence of all the parties** is required for the contract of guarantee. In other words, all the three parties to the contract must agree to make such a contract with the agreement of each other. In such a contract the surety takes his responsibility to be liable for the debt of the principal debtor only on the request of the principal debtor and therefore, communication either express or implied by the principal debtor to the surety is necessary. Further, the communication by the surety with the creditor for entering into a contract of guarantee without the knowledge of the principal debtor will not constitute a valid contract of guarantee.
 - ✓ There should be the **existence of debt** in a contract of guarantee. As it is a contract to secure the payment of the debt taken by the principal debtor and therefore, if no such debt exists then there is nothing left for the surety to secure.
 - ✓ **Consideration for guarantee** is the things done or promise made for the benefit of the Principal Debtor and is considered as sufficient consideration for surety.
 - This provision has been specifically laid down under section 127 of the Contract Act as: Anything done, or any promise made, for the benefit of the principal debtor, may be a sufficient consideration to the surety for giving the guarantee.
 - **Example:** B requests A to sell and deliver to him goods on credit. A agrees to do so, provided C will guarantee the payment of the price of the goods. C promises to guarantee the payment in consideration of A's promise to deliver the goods. This is a sufficient consideration for C's promise.

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